TINASHE CHIDAVAENZI
and
T & F LOGISTICS (PVT) LTD T/A BJP PETROLEUM
and
ZIMBABWE REVENUE AUTHORITY

HIGH COURT OF ZIMBABWE
CHITAPI J
HARARE, 19 March 2026

Opposed Application

J Mapuranga, for the applicant.
T. E Kamena, for the respondent

CHITAPI J: The parties are as cited in the heading. The first applicant is a male adult of Harare. The second applicant is a duly registered company in terms of the laws of Zimbabwe and carries on business in Zimbabwe. The respondent is a statutory authority founded under the Revenue Authority Act [*Chapter 23:11*]. The respondent is charged *inter alia* with tax collection for the Government of Zimbabwe. Such function includes the assessment of duties and enforcing the provisions of the Customs and Exercise Act [*Chapter 23:02*].

This application is for review of the decision of the respondent made on 22 August, 2024 to place under seizure fuel which the applicants claim. The first applicant acts for himself and on behalf of the second applicant as its managing director. He is duly authorized to act for the second applicant by reason of the second respondent's board resolution to that effect dated 16 October, 2024. It is attached to the founding affidavit. The board resolution is a curious one because the first resolution made and endorsed thereon that the first applicant acts for the company to file an application for review. The second part of the resolution then stated that the first applicant is authorized to represent the company and sign all documents on the company's behalf "in opposing the urgent chamber application". The resolution's wording was a point of note to me. However with the respondent not having raised issue with the resolution, the point l

make is observatory. Counsel need to be properly guided when settling court documents. No doubt counsel will take heed.

The background facts which ground the application as stated in the founding affidavit are that the first applicant purported to operate a fuel service station in Chinhoyi using the trade name BJP Petroleum. The respondent on 31st May 2024 attended at the service station and placed an embargo on all the fuel, petrol and diesel on site. The embargo was placed for a period until 3 June, 2024. The reason given for the embargo was "pending production of import documents/clearance documents". The notice of embargo is dated 31 May, 2024. It reads as follows in material particulars:

> "I refer to our visit to the office/telephone of the …… and advise that an embargo has been placed on the following goods:
> 1x petrol tank (underground) reading schedule p 2
> 2x diesel tanks (underground) reading on schedule p 2
> According to section 192 of the Customs and Exercise Act, Chapter 23:02 which reads:
>
> 1. If at anytime an officer has reason to believe that the correct duty has not been paid on any goods which have passed out of Customs Control or there had been or there may be in respect of those goods any contravention of any of the provisions of this Act or any other law relating to the importation of goods, he may within a period of six years from the date of the importation or delivery from factory in the case excisable goods, seize or place an embargo on the goods whosesoever (sic) or gain possession of whomsoever found (sic) and until embargo has been withdrawn no person shall remove such goods from the place indicated above by the officer or in any way deal therewith except with the permission of the officer.
> 2. In subsection (1) "duty" includes any VAT which is payable in terms of the VAT Act [Chapter 23:12). This means the motor vehicle /goods is/are to and is/are not to be used, removed, sold or otherwise disposed of without prior written permission from ZIMRA.
>
> Reason for Embargo:
> "Pending production of import/clearance documents".

The amount of fuel embargoed is quite substantial. According to the schedule of 9 quantities, it comprises 2 787 petrol and diesel 9 488 litres in one tank and 20 158 in the second tank.

The first applicant averred that the furnished the respondent with the importation and clearance documents to demonstrate that the fuel in question was lawfully imported. The first applicant attached to the founding affidavit, copies of clearance and procurement documents which were supplied to the respondent. The first applicant also averred that a meeting was held between him and the respondents officers in June 2024 at which the respondent agreed to lift the

embargo on payment of a security deposit of US$10 000 into the respondents account which was done on 27 June 2024. Proof of payment was annexed as an attachment to the founding affidavit. The first applicant averred that come 3 June 2024 the respondent did not remove the embargo despite its lapse and neither was the embargo extended. The non action by the respondent led to the first applicant on 3rd September 2024 serving the respondent with a notice to sue it as required by law:

The first applicant averred that on 3rd October 2024, the respondent served him with a notice of cancellation of the notice of embargo/ seizure under which the fuel had been held. The respondent also withdrew its special warrant which had been issued in respect of the consignment. The respondents' letter of cancellation of the embargo dated 3 October 2024 is worded as follows

> "Re CANCELLATION OF NOTICE OF SEIZURE 027444K OF 22 AUGUST 2024 ISSUED TO TINASHE CHIDAVANZI
> Reference is made to the above subject. Kindly be advised that the Notice of Seizure 0274444k dated 22 August 2024 for fuel service in situ at BJP Petroleum enterprises Ltd seizure station in Chinhoyi is hereby cancelled. Take note that this cancellation does not imply that the fuel is released to you. It is still in ZIMRA's custody..."

The respondent in relation to the special warrant issued on the same date wrote as follows:

> WITHDRAWAL OF A SPECIAL WARRANT PREVIOUSLY issued in terms of the CUSTOMS AND EXCISE ACT –TINASHE CHIDAVAENZI.
> Reference is to our letter dated 6 August 2024 and subsequent communication in respect of the above subject
> Kindly be advised that the special warrant reference number ZNHO/RA/SN/01/08/24 for USD$ 1 274 830- F 8 issued on 7 August 2024 and second warrant ZWHO/RA/SW/02/08/24 for USD$33 535. 72 issued on 7 August are hereby withdrawn."

Both the two letters were written by the same person E. Mawere (Av). The reasons for cancellation of the embargo and withdrawal of the special warrants were not given by the respondents. The applicant averred that it was unlawful on the part of the respondent to refuse to release the fuel after it had cancelled or retracted its basis for having seized and placed the fuel under embargo and further after it had undertaken to remove the embargo on payment of a deposit of US$ 10 000 which the respondent acknowledged and receipted. The first applicant averred that the respondent wrongfully re seized the fuel.

In seeking the review of the respondent's decision the applicant listed the following three grounds of review:

> "1. The respondents' decision to seize the applicant's fuel on 22 August 2024 is arbitrary and *ultra vires* the law.

> 2. The respondents conduct of seizing the applicants fuel is grossly irregular and irrational given that the –embargo which had been placed on the fuel had exposed and the applicants had complied with the terms thereof
> 3. The respondent's decision to retain custody of the fuel despite cancelling the notice of seizure pursuant to which it was held is grossly irrational and *ultra vires* the law."

In relation to the prayer the applicant prayed for the success of t-he application and for the court to additionally set aside the decisions of the applicant to seize the fuel made on 22 August 2022 to retain custody of the fuel as per its letter of 3 October 2022.The applicants pray for an order that the respondent be ordered to surrender the fuel to custody of the applicant.

The respondents' narration of events was that it visited the second respondents' service stations in various centres around the country of which Chinhoyi was one such service station. The respondents' mission as its officers explained was to ascertain,

> "If the fuel sold by Brian Justice Enterprises Ltd was properly cleared in terms of Customs and Exercise Act as well as check accuracy of Income Tax declared."

The respondents averred that when it requested for fuel import documentation the second applicant failed to provide the documents of importation and clearance. The fuel found on the premises was then placed under embargo in terms of the provisions of the section 192 of the Customs & Excise Act. The respondent averred that a meeting was held on first June 2024 with the second respondent whose representatives advised that fuel was procured from companies like PUMA, NOIC, REDAN, YELLOW METAL, BELL and MAPS. The first applicants name or rights of ownership of the fuel did not arise. At a subsequent meeting on 4 June 2024, the first applicant was then featured as the supplier or broker for Yellow Metal. It was then alleged by the second applicant that it was the owner of the service station but that the service station runs under an arrangement wherein fuel is sourced from the first applicant who represents Yellow Metal and then on delivery the second applicant is provided with an invoice from Yellow Metal.

The respondent averred that the second applicant produced invoices as proof of sources of the fuel procured by the latter from Yellow Metal. They amounted to 358 481 liters of petrol and 485 076 liters of diesel. The respondent averred that upon verification with Yellow Metals, Yellow Metals only acknowledged invoices totaling 125 898 liters petrol and 90 759 liters of diesel. The respondent therefore alleged that the second applicant failed to prove the source of the outstanding fuel on invoices disowned by Yellow Metals. The respondent averred that the second applicant failure to account for the fuel as aforesaid was not in compliance with the terms

of the Income Tax Act and Customs and Excise Act. The respondent attached copies of the invoices which were produced by the second applicant and the acquitted ones. The respondent questioned the first applicants' involvement and role in the application. It averred that there was completed litigation in the form of an urgent application under case number HC2532/24 brought by the second applicant seeking the upliftment of embargoes placed on fuel at various service stations owned by the second respondent. It was averred that the matter was settled by consent and that the payment of the amount of US $10 000.00 was in part settlement of terms of the consent order. It averred that the first applicant had on 29 July 2024 deposed to an affidavit in which he swore that the fuel in issue belonged to the second applicant. I must note and state without further ado that the affidavit in issue which is annexure F1 to the opposing affidavit does not state that the fuel belonged to BJP or the second applicant. On the contrary the first applicant's deposition was that the procured fuel was sold through or at the second applicants Chinhoyi Service Station. The second applicant only received a margin of the ten (10) cents per liter on the invoice price for the supplied fuel. The first applicant stated in paragraph 8 of that affidavit as follows;

> "I hereby confirm that I procured all the fuel that was sold at BJP Chinhoyi during this period. I am personally liable for all and any customs duty that may be due in relation to the fuel in question BJP was not in any way involved in the importation or procurement of the fuel."

The respondents' allegation that the first applicant deposed that the fuel belonged to the second applicant is therefore incorrect.

In relation to the embargo and seizure notice relating to fuel at Chinhoyi Service Station, the respondent averred that all embargoes were lifted on 27 June 2024. It then averred that on 2 August 2024 another embargo in the name of the second applicant was placed on the fuel after the first and second applicants failed to account for fuel sold at the service station for the period 1 January 2024 to 31 May 2024

The respondents averred that the withdrawal of the special warrant and notice of seizure subject of this application was motivated by the fact that despite the claim to ownership of the fuel by the first applicant, the fuel was owned by Brian Justice Enterprises' because all invoices by Yellow Metals were made to BJP Enterprises, receipts from Yellow Metal were issued in name of BJP Enterprises, the service station operated under a license issued to BJP Enterprises, the applicants do not hold a fuel procurement or trading license and that the second applicant was

not yet registered and as such it could not claim the fuel as the fuel was was sold before its existence. The last argument is not clear because the second applicant does not claim ownership of the fuel but the first applicant. The respondent averred that it acted within the law and that there was no basis for seeking the review. The respondent noted that the second applicant was registered on 28 June 2024 and could not speak to the embargo notice of 31 May 2024 as it was issued before its existence. I doubt the veracity of the argument though I do not decide on it as it is not necessary to do so.

In specific answer to grounds of review, the respondent averred that the fuel could not be released because BJP Enterprise undertook to pay duty on the fuel and made a down payment of US$10 000.00 in part payment. I should also observe that there is nothing on annexure TC 9 to the application which is an acknowledgment of the US$10 000.00 payment to indicate that it was issued in acknowledgement that duty due on the fuel was admitted. The respondent also averred that it was not necessary to first embargo goods before seizing them. It averred that the cancellation of the embargo notice and special warrant did not invalidate the seizure of the fuel from BJP Enterprises. It averred that the fuel was lawfully held under the second seizure notice issued in the name of BJP Enterprises. The respondent then stated that the fuel was not going to be released until BJP Enterprises paid USD$1263 830.48 which it undertook to pay.

In the answering affidavit, the first applicant took a point *in limine* that the respondents' board resolution was invalid because it was issued before the conduct of the respondent complained of took place. It was averred that the resolution was passed on 12 July 2023 almost a year before the embargo on the fuels concerned herein was imposed. The resolution complained of is a generalized one in terms of which certain and named categories of employees respondent are authorized in their official capacities to represent the respondent in all courts in Zimbabwe in all Civil and Criminal proceedings and to sign documents and depose to affidavits on behalf of the respondent as necessary. It was averred that the blanket resolution which did not identify the specific proceedings herein was invalid.

The first applicant also averred that his concern was with respect to fuel embargoed at Chinhoyi and not at all other service stations around the country as adverted to by the respondent. He averred that when the respondent visited, it was not clear what documents were required and it was only at a meeting with the respondents' officers the next day after the visit

that the respondent indicated that it required invoices of fuel which the first applicant had supplied at the service station. The first applicant reiterated that he had a rental agreement with BJP Enterprises and submitted the invoices through BJP Enterprises to the respondent to explain how the fuel got to the service station. The first applicant explained that he sometimes made payments in the name of BJP Enterprises to aid easiness of delivery place identification. He also did not have a retail licence to sell fuel hence he used the second respondents' name. He averred that it did not make sense for the respondent to insist on an explanation of the origins of fuel from the second applicant because it is him the first applicant who owned the fuel and was responsible for accounting for customs duty. He referred to the second applicant as his landlord. The first applicant attached correspondence between him and the respondent which showed that the discussions on the fuel ownership were held between him and the respondent. He averred that the respondent was aware that the first applicant always stood by himself and not with BJP Enterprises. He averred that it was him who paid the US$10 000.00 and not BJP Enterprises. He averred that his *bona fides* was amply demonstrated by the fact that by claiming the fuel he was he ws exposing himself and the second applicant to payment of duty when the easy way out was to abandon the fuel.

In the submissions the applicant submitted that the application should be treated as unopposed because of want of a valid resolution. The applicants' counsel cited the cases of *Beach Consultancy (Pvt)Ltd* v *Makonya and Anor HH 696/21 and Leechiz Investments v CABS* HH 251/23 to advance the point that a resolution cannot authorize a company's participation in litigation which has not commenced or whose cause has not arisen. The above authorities dealt with private companies and not statutory bodies. The effect of the blanket resolution is to allow the officers therein named who already exercise statutory power and duties for example of seizing good, calculating duties and so on, to act on behalf of the respondent in matters they are handling. I am aware that there have been contrary judgments by this court the effect that ZIMRA must pass a resolution of its Board for every case. I am however with respect not persuaded that where a case arises and it deals with matters within the province of the exercise of power under the Revenue Act by a designated officer whose powers and duties are set out in the Act, a board resolution which authorizes such officer to act for the employer when matters within his province arise is invalid. The resolution in many ways acts as a power of attorney

authorizing the named officer's to act for the respondent. I am not aware of a law which forbids this. I did not find merit in the point in limine. I dismissed it. Another point raised by the respondent to the effect that the applicants had no *locus standi* was not pursued. It was advisable to abandon it because the applicants clearly had real and substantial interest in the matter. The first applicant was at the thick of the dispute on the embargoed fuel.

In his submissions applicants' counsel submitted that the respondent was not entitled to refuse to release the fuel in issue to the applicants after it cancelled the warrant and lifted the embargo. It was submitted that the decision was grossly unfair, irrational arbitrary and did not comply with the provisions of s 3(1) of the Administrative Justice Act [*Chapter 10:28*] which requires that administrative authorities should act lawfully, fairly and reasonably. It was also submitted that the respondent did not supply any reasons for the continued detention of the fuel. Counsel submitted that the issuing of another seizure notice against Brian Justice Petroleum Enterprises did not cure the breach of the duty of the respondent to comply with the Administrative Justice Act which forbids arbitrariness in decision making. It was submitted that although the applicants had claimed the fuel and been engaged on the issue by the respondent, the respondent nonetheless made a decision without reference to the applicants that the fuel in dispute belonged to BJP Enterprises.

The applicant's counsel further submitted that the decision of the respondent was also irrational for the reason that its conduct was not consistent with its primary aim to recover duty not paid. It was submitted that the respondent was not guided by s 204 of the Custom and Excise Act which provided that the person who claims or owns the goods has a duty to show that duty was paid. It was submitted that since the applicants claimed the goods, the issue of recovery of duty should not have then brought in BJP

Counsel submitted further that the applicants accounted for the fuel and the accounting was accepted in part. Thus counsel argued, the respondent acted irrationally in making a turn around to hold that the fuel belonged to BJP Enterprises without reference to the applicants. It was also submitted that the respondent sought to mislead the court when it averred that BJP Enterprises paid the security deposit of US $ 10 000, 00 when it was the first applicants who did so and the respondent acknowledged so in its letter annexure E.

The respondents counsel submitted that the applicants were given the reasons for the decisions to cancel the notice of seizure on 18 October, 2024 at a meeting held between the parties and that the reasons were given within fourteen days of the cancellation of the notice of seizure done on 4 October, 2024. It was submitted that the applicant should have requested for the reasons. Counsel submitted that the applicant did not state that they trade in fuel and that the fuel could not be released to them. Counsel submitted that the arrangement between BJP Entreprises and the applicants' contravened s 34 of the Petroleum Act which forbids assignment and cession of the trading licenses by licensed traders. Counsel submitted that the fuel was held for nonpayment of duty and that it was competent to recover duty on goods already consumed in terms of s 193(6) (c3) of the Customs and Excise Act. It was also submitted that BJP Enterprises had claimed the fuel as its own in Case No HC 2532/24. It was thus submitted that the respondent had two documents. Counsel argued that the applicants were entitled to an order for reasons and not for the release of fuel.

In response applicants counsel submitted that it was not true that BJP Enterprises ever laid claim to the fuel nor conceded that the fuel belonged to it. Counsel pointed out that in para 12 of the apposing affidavit, wherein the respondent alluded to the denial by BJP Enterprises of ownership of the fuel and attributed ownership to the applicants. Counsel submitted that s 34 of the Petroleum Act did not forbid leasing of trading licenses. It is not necessary go into this as it not necessary to debate the issue in determining this matter.

This review arises from the conduct of the respondent to place the fuel claimed by the applicants and stored at BJP Chinhoyi service station under embargo. It concerns how the respondent went about performing its administrative functions. The embargo on fuel followed a post-clearance audit carried out by the respondent to ascertain whether the fuel was accounted for properly in relation to payment of duty and related taxes. Such checks as submitted by the respondent were made in terms of s 223 A of the Customs and Excise Act.

It is evidently clear that the respondent in opposing the application went on and on to tell a story of how it had placed embargoes on fuel stored at service stations belonging to BJP Enterprises and to Court Case No HC 2532/24 wherein embargoes or seizures of fuel were lifted by a consent order and deed of settlement. The respondent was not advised to simply deal with the grounds of review which were pleaded by the applicants.

The applicants was based upon an allegation of arbitresses and unreasonableness or irrationality and bad faith. The review concerns the paper trail of how the respondent went about its functions in following up on duty and its collection. The applicants laid claim to the fuel which had been placed under embargo. The respondent was in direct discourse with the first applicant in meetings and letter exchanges. The applicants declared that the fuel in issue belonged to it and that it was its responsibility to account for it and pay any duty due. The applicants produced invoices from yellow Metals to back up the claim to fuel. The respondent took account of the invoices but queried some which Yellow Metals had disowned. It appeared that the respondent was hell bent on finding liability on BJP Enterprises because it appeared not to be interested in pursuing duty due from the applicants even though the first applicant deposed to an affidavit to claiming the fuel. The respondent even misinformed the court that the first applicant had alluded to the fact that the fuel belonged to the BJP Enterprise yet there was nothing to indicate that the first applicant had stated that the fuel belonged to BJP Enterprises. Further the respondent also averred that BJP Enterprises claimed that fuel in Case No HC 2532/24. There was however no evidence placed on record to back up the assertion.

It is also common cause that the notices of embargo at play were issued in the name of the first applicant. This led to the first applicant actively engaging the respondent for release of the fuel. The applicants succeeded on having the embargo uplifted. There was after upliftment of the embargo nothing to justify the withholding or dealing in the fuel. The statement in the embargo upliftment letter that the respondent still had a say and the fuel could not be dealt with by the applicants was not logical. The respondent without notice to the applicants and without much ado and a month later, more or less then issued an embargo notice over the same fuel against BJP Enterprises. This action was irrational and arbitrary.

The applicants claimed the fuel and took action to have the embargo lifted. The embargo was lifted. Without asking the applicants to make submissions on their claimed ownership of the fuel, the respondent declared that the same fuel belonged to BJP Enterprises again without representation from BJP Enterprises. That conduct suggested some unusual interest to want to bring BJP Enterprises into liability at all cost. The applicants had a legitimate expectation to be involved and make representations on the ownership of the fuel before the declaration was made that the fuel belonged to a third party. The decision of the respondent cannot stand and must be

set aside. The respondent showed scant regard to the applicant's expectations. It sought to build its story and to justify its actions in the opposing affidavit. The applications did not call for that approach and the court must be careful not to be dragged to misdirect itself and make findings or comment on the long story given by the respondent. The court must be directed to comment on the grounds of review only. In this regard the applicant established that the applicant acted arbitrarily in continuing to hold on to the fuel after upliftment of the embargo and without ado to place another seizure notice against another entity over the same fuel claimed by the applicants. The applicants after all their efforts were entitled to be made aware of the intended decision and for their inputs.

The applicants pray for an order that the respondent's decision is set aside, and that the fuel should be released to them. I would have been inclined to grant such an order if there was no dispute on whether duty is due. This is an internal matter for the parties and it was an issue under their discussion. It does not appear sensible though that after lifting the embargo the applicants were not permitted to dispose of the fuel given that there was a deposit of US $ 10 000,00 paid as security. The applicants in any event took responsibility to account for whatever duty may be due whilst claiming ownership of the fuel. The matter must be remitted to the respondent to finalise the issue of outstanding duty if any and why the fuel should not be released to the applicants.

On costs, they must follow the event. In fact the respondent took an opportunity to seek to justify its conduct in the opposing affidavit which it could have done in addressing the applicants. At this stage the court cannot make findings on the veracity of the story. The respondent went beyond addressing allegations of acting irregularly, arbitrarily and unreasonably and more costs were incurred unnecessarily.

This application is accordingly determined as follows:

IT IS ORDERED THAT:

1. The decision of the respondent to attribute ownership of the fuel in issue and to issue an embargo on it against BJP Enterprises is set aside.
2. The decision of the respondent to remove the fuel from the embargo which had been issued against the first applicant stands.

3. The respondent shall release to the applicants the fuel previously held under notice of embargo/seizure No 027444K dated 22 August, 2024 which was cancelled on 3 October, 2024 provided that the release of the fuel shall not terminate the rights of the respondent to pursue payment of duty which may be established to be due on the fuel.
4. The respondent shall pay the cost of the application.

CHITAPI J……..

MA Hungwe Attorneys, applicants Legal practitioners
Zimbabwe Revenue Authority, respondent's legal practitioners